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Secure Distribution Venture Pvt. Ltd.

WHAT IS PAYABLE FINANCING?

A Comprehensive Textbook & Reference Manual on Accounts Payable Optimization, Supplier Financing, and Reverse Factoring Arrangements in India

Developed by www.loanbazaaronline.com

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Chapter 1: Product Overview & Core Philosophy

Payable Financing, also widely known as Supplier Financing, Buyer-Led Supply Chain Finance (SCF), or Reverse Factoring, represents a highly specialized, technology-driven working capital facility designed specifically to optimize accounts payable management for large corporate enterprises while simultaneously releasing immediate, low-cost liquidity to their small and medium-sized suppliers. In the modern industrial and retail ecosystem, trade transactions typically operate on credit terms where buyers expect 30, 60, or 90 days of usance terms before settling invoices. This lag creates severe cash-flow bottlenecks for suppliers, particularly Micro, Small, and Medium Enterprises (MSMEs), who must absorb upfront manufacturing, labour, and raw material expenses.

Payable Financing elegantly resolves this cash-flow tension through a Buyer-Led structure. Unlike traditional credit where individual suppliers approach banks for overdrafts or invoice discounting based on their own modest balance sheets, Payable Financing is initiated and sponsored by a large, creditworthy corporate buyer, often referred to as the Corporate Anchor. The financier (typically a commercial bank or Non-Banking Financial Company, or NBFC) integrates directly with the Anchor's Enterprise Resource Planning (ERP) platform. Upon approval and verification of invoices by the Anchor, the financier offers the supplier the option to receive early payment. If selected, the supplier receives the invoice value immediately (minus a nominal discount fee) on a non-recourse or recourse basis, while the Anchor settles the full invoice amount with the financier at the original maturity date.

The Credit Arbitrage Principle

The fundamental commercial mechanism of Payable Financing is credit arbitrage. A typical MSME supplier often faces prohibitive borrowing costs, with local bank cash credit or unsecured overdrafts priced between 12% and 18% per annum due to high risk perception and thin balance sheets. Conversely, the Corporate Anchor, possessing a strong investment-grade credit rating (such as AAA, AA+, or AA issued by RBI-approved rating agencies like CRISIL, CARE Ratings, or ICRA), can borrow at significantly cheaper commercial paper rates, often between 7.0% and 8.5% per annum.

Under a Payable Financing arrangement, the financier prices the discounting rate of the supplier's invoices based on the credit rating and risk profile of the Corporate Anchor, rather than the supplier. This arbitrage enables the supplier to access immediate funding at institutional rates (e.g., 8.0% p.a.), structurally lowering their cost of finance and ensuring the stability of the Anchor's downstream supply chain.

> **THE SYSTEMIC IMPORTANCE OF PAYABLE FINANCE FOR MSMEs**
>
> *By leveraging the creditworthiness of Corporate Anchors, Payable Financing provides small, collateral-constrained suppliers with an alternative, non-balance sheet-driven source of cash flow. This completely bypasses the traditional banking friction of requiring real estate collateral or extensive debt-service coverage audits, driving financial inclusion across the Indian manufacturing and trading landscape.*

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Chapter 2: Comparison Framework: Payable vs. Receivable Finance

To build a clear structural taxonomy for finance rookies, it is critical to contrast Payable Financing with its sibling product, Receivable Financing (commonly referred to as Invoice Factoring or Sales Invoice Discounting). While both fall under the broad umbrella of Trade Finance and utilize trade invoices as primary credit instruments, their operational initiators, risk focuses, onboarding structures, and financial implications differ significantly.

The primary operational distinction lies in 'who drives the program.' Receivable Financing is a Seller-Led program. An individual supplier collates outstanding invoices raised on various buyers and approaches their own bank to discount them to unlock cash. The financier must audit and assess the creditworthiness of multiple disparate buyers, leading to high administrative friction. Payable Financing, on the other hand, is a Buyer-Led program. The Corporate Anchor partners with a financier to set up a unified supply chain finance program, automatically onboarding their entire pre-approved supplier base. The financier performs a single, deep credit assessment of the Anchor, establishing a massive aggregate program limit (e.g., ₹100 Crore) that is then distributed amongst registered suppliers.

Comparative Parameter Mapping

Parameter	Payable Financing (Reverse Factoring)	Receivable Financing (Invoice Factoring)
Program Initiator	Buyer-Led (Corporate Anchor establishes program for suppliers).	Seller-Led (Individual supplier seeks funding on various buyers).
Credit Risk Focus	Credit risk of the Corporate Anchor (AAA/AA buyer). Very low default risk.	Credit risk of the seller's diverse buyer base. Higher risk volatility.
Discount Pricing Base	Priced on the Corporate Anchor's credit rating (highly competitive rates).	Priced on the individual supplier's or individual buyer's risk profile.
Onboarding Dynamics	One-time integration with Anchor's ERP; auto-onboarding of suppliers.	High friction; supplier must provide separate credit documents for each invoice.
Recourse Framework	Typically Non-Recourse (Lender absorbs buyer default risk once approved).	Typically Recourse (Supplier must repay lender if buyer defaults).
Accounting Impact	Classified as Trade Payables or Supply Chain Finance under Ind AS disclosures.	Off-balance sheet asset derecognition under strict Ind AS 109 rules.
Collection Mechanics	Direct repayment by the Corporate Anchor via automated debit sweeps.	Collection follow-ups directly with buyers, or handled by the supplier.

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Chapter 3: Tripartite Structure & Step-by-Step Transaction Loop

The operational architecture of Payable Financing relies on a robust Tripartite Model involving three distinct entities who interact in a tightly coordinated, secure, and real-time transaction loop. These participants are:

- **1. The Supplier (Seller / Payee):**The small-to-medium enterprise raising trade invoices for goods delivered or services rendered. The Supplier receives early payment (discounted upfront) and avoids carrying long trade receivables.
- **2. The Corporate Anchor (Buyer / Debtor):**The highly creditworthy corporate enterprise (AAA/AA rating) who initiates the program, buys the goods, approves the invoices, and contractually agrees to pay the financier on the maturity date.
- **3. The Financier (Lender / Factor):**The commercial bank, NBFC, or fintech-backed digital platform that funds the transaction upfront, manages the API ERP integrations, and collects the mature invoice settlement from the Anchor.

The Step-by-Step Transaction Workflow

Stage	Commercial Action	Behind-the-Scenes System & API Activity
1. Invoicing	The Supplier delivers goods to the Corporate Anchor and uploads the commercial tax invoice onto the Anchor's vendor portal.	The Anchor's ERP system (SAP/Oracle) registers the invoice and performs three-way matching against the Purchase Order (PO) and Goods Received Note (GRN).
2. Approval	The Corporate Anchor approves the matched invoice, certifying that the goods have been received in satisfactory condition and the payment is approved.	An automated API call transmits the 'Approved Invoice' data payload (containing invoice ID, value, due date, tax, and supplier details) securely to the Lender's system.
3. Offer	The Supplier logs into the lender's Digital Supply Chain Finance (SCF) portal or TReDS platform and views the pre-approved invoice available for discounting.	The Lender's system automatically computes the early payment discounting value (using the pre-negotiated Anchor-linked interest rate and holding margin) and displays the offer.
4. Disbursal	The Supplier accepts the early payment terms. The Lender instantly disburses the funds (usually 85-90% as advance, or 100% minus discount) to the Supplier's account.	The Lender's system routes a direct RTGS/NEFT payment to the Supplier's bank account, creating an active assignment of the receivable under the Factoring Regulation Act.
5. Settlement	On the original due date of the invoice (e.g., Day 90), the Corporate Anchor pays the full invoice amount to the Lender's designated escrow account.	The Lender's system triggers an automated bank sweep (such as e-NACH/e-mandate) on the Anchor's account, sweeps the outstanding principal, releases any margin reserve, and closes the loan.

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Chapter 4: Underwriting Standards, Eligibility & Credit Risk Assessment

A critical challenge for finance rookies is understanding how credit underwriting shifts inside a Payable Financing program. In traditional bank lending, credit officers conduct an exhaustive, paper-heavy analysis of the borrower's debt-to-equity ratio, historical profitability, and fixed collateral (such as factory land or residential property). Under a Payable Financing pipeline, underwriting focuses primarily on transaction velocity, historical supplier-anchor relationships, and the credit strength of the Corporate Anchor, making it a form of cash-flow-driven asset-based lending.

Underwriting the Corporate Anchor (The Program Limit)

To establish a unified Payable Financing program, the financier conducts a rigorous credit assessment of the Corporate Anchor. Because the Anchor is the final obligor contractually responsible for settling all mature invoices, the lender's credit committee focuses on key institutional risk metrics:

- • **External Credit Rating:**The Anchor must possess a long-term investment-grade rating (AAA, AA+, AA, or AA-) issued by an RBI-accredited rating agency.
- • **Leverage & Debt Service Ratios:**Evaluation of debt-service coverage, interest coverage ratio, and leverage ratios (Debt/EBITDA <3.0x is preferred).
- • **Industry Vintage & Market Position:**The corporate must have a stable trading history of at least 5 years and be a market leader in its respective industry segment.
- • **Historical Supplier Dispute & Dilution Rate:**The lender audits the Anchor's payment records, checking for delayed payment histories or commercial disputes with vendors.

Onboarding Eligibility for Suppliers

Once the aggregate program limit is sanctioned (e.g., ₹100 Crore), individual suppliers can be onboarded seamlessly. Lenders use a highly automated, digital-first filter to register suppliers. Key eligibility criteria include:

- • **Commercial Vintage:**The supplier must have a continuous, active commercial relationship with the Anchor for a minimum of 18 to 24 months.
- • **Bureau Score & Credit Rank:**Evaluation of the supplier's personal promoter credit history (CIBIL >700) and commercial credit rank (CIBIL Rank CMR 1-4 preferred) to ensure general operational health.
- • **Regulatory Registration:**Suppliers must possess valid registration under the Goods and Services Tax (GST) network and have an active, clean PAN card.
- • **MSME Classification:**Lenders check if the supplier is classified as a Micro, Small, or Medium Enterprise (MSME) via the Udyam Registration portal, which unlocks priority sector lending benefits.

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Chapter 5: Legal Framework, Security & Documentation Requirements

While Payable Financing is often unsecured by physical real estate collateral, it is anchored on a highly robust, legally enforceable framework governed by Indian statutory codes. This dual framework ensures absolute clarity regarding the transfer of receivables, prevents fraudulent duplicate financing, and secures the repayment escrow loop.

Statutory Legal Anchors

1. The Transfer of Property Act, 1882 (Section 130): This section governs the transfer of 'actionable claims' (which includes book debts and outstanding trade invoices). Under Section 130, a supplier can legally assign their right to receive payment from the Corporate Anchor to the financier. This assignment is executed via a written deed of assignment, transferring all legal title, recovery rights, and beneficial ownership of the receivables directly to the lender.

2. The Factoring Regulation Act, 2011: This statutory act formalizes the factoring industry in India. Under the Act, factoring companies must be registered as NBFC-Factors with the RBI (though scheduled commercial banks are exempt from separate registration). Crucially, Section 19 of the Factoring Act mandates that every assignment of receivables must be registered on the Central Registry of Securitisation Asset Reconstruction and Security Interest of India (CERSAI) portal within a strict 10-day window. This registration creates a public charge, ensuring that the same invoice cannot be fraudulently pledged or discounted with another financier.

Essential Security & Documentation Portfolio

- • **Master Factoring & SCF Agreement:**Executed between the financier and the supplier, detailing the interest rates, discount limits, operational covenants, and assignment declarations.
- • **Tripartite Agreement & Non-Dispute Covenant:**A critical contract signed by the Anchor, Supplier, and Financier. Under this tripartite covenant, the Corporate Anchor contractually agrees to make all invoice payments directly to the financier's designated escrow account, waiving all rights to commercial disputes or quality-based offsets once an invoice is approved.
- • **Irrevocable Escrow & Payment Mandate:**The Anchor must execute an irrevocable bank mandate (such as e-NACH or e-mandate) authorizing the financier to automatically sweep the mature payment from its account on due dates.
- • **Digital e-KYC & Corporate Resolutions:**To satisfy RBI's digital onboarding directions, the supplier must complete Aadhaar e-KYC and provide digitally signed Board Resolutions or Partnership Deeds authorizing the factoring line.

> **CERSAI REGISTRATION & DUAL-FINANCING RISK MITIGATION**
>
> *The registration of assigned receivables on the CERSAI portal within 10 days of transaction execution is a non-negotiable regulatory requirement. If a lender fails to register the charge, their claim over the receivable becomes legally subordinate to any subsequent registered financier, highlighting why credit operations teams prioritize real-time CERSAI filing.*

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Chapter 6: Market Sizing, Suitable Industries & Institutional Ecosystem

The supply chain finance and payable financing market in India has witnessed an explosive, structural growth trajectory over the past decade. This expansion is driven by the rapid formalization of retail supply chains following the implementation of GST, the emergence of digital-first fintech platforms, and proactive government mandates to support MSME working capital cycles. According to credit bureau data and the SIDBI MSME Pulse Digital Report, trade receivables and supply chain finance outstanding reached over ₹96,300 Crore in 2025, with MSMEs representing the largest borrowing segment in terms of active loan accounts.

The Institutional Player Landscape

The Indian institutional landscape is populated by three distinct categories of financiers who cater to varying scales of corporate supply chains:

- • **Commercial Banks:**Large commercial lenders like the State Bank of India (SBI) lead the market through structured programs. SBI possesses a massive Electronic Dealer Financing Scheme (e-DFS) portfolio of over ₹49,261 Crore and an Electronic Vendor Financing Scheme (e-VFS) of over ₹28,092 Crore. Private giants like HDFC Bank and ICICI Bank dominate high-ticket, API-integrated corporate supply chain portals.
- • **Non-Banking Financial Companies (NBFC-Factors):**Institutions like Tata Capital, Aditya Birla Finance, and Bajaj Finserv leverage deep physical distribution networks and flexible underwriting models to onboard mid-tier corporate anchors and small-town suppliers who may lack extensive credit ratings.
- • **Digital Platforms & Multi-Bank Fintechs:**Fintech platforms (such as Veefin, CashFlo, KredX, and M1xchange) operate agile, digital-first multi-bank architectures. By integrating with corporate ERPs and multiple banks simultaneously, they provide a single checkout-style dashboard where invoices are dynamically routed to the financier offering the lowest bidding cost.

Suitable Industries and Business Profiles

Payable Financing is structurally optimized for industries with high-volume, repetitive purchasing cycles and a fragmented base of small component suppliers. These include:

- • **Automotive & Engineering:**Automotive components and sub-assembly manufacturers require continuous liquidity to procure raw materials for Tier-1 automakers.
- • **Consumer Electronics & Durables:**High seasonal demand peaks (e.g., festive electronics sales) require component vendors and contract manufacturers to access flexible working capital.
- • **FMCG & Pharmaceuticals:**Distributors and packaging suppliers require short-term, revolving lines to support rapid high-velocity trading cycles.
- • **Infrastructure & Construction:**Large builders utilize structured vendor payment programs to manage subcontractors and building material suppliers.

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Chapter 7: Commercial Mechanics, Pricing Models & Unit Economics

To master the commercial utility of Payable Financing, finance rookies must analyze the underlying unit economics and pricing structures from both the lender's and borrower's perspectives. This analysis is critical to understanding how transaction-backed revolving lines generate yield while maintaining extremely low default rates.

Commercial Pricing Components

A standard revolving Payable Financing program incorporates four main commercial cost components:

- **1. Financing Interest Rate:**Typically priced on a floating rate linked to the financier's External Benchmark Lending Rate (EBLR) or Repo-Linked Lending Rate (RLLR). It currently ranges from 7.5% to 10.5% per annum based on the Corporate Anchor's rating.
- **2. Upfront Processing Fee:**An annual or per-transaction service charge ranging from 0.05% to 0.5% of the invoice value, applied strictly by the financier to cover ERP integration maintenance, CERSAI registration costs, and credit underwriting.
- **3. Margin Reserve:**Applied to cover the holding margin held in reserve to buffer against potential trade dilutions, returns, or invoice disputes. This holding margin typically ranges from 10% to 15% of the total invoice value.
- **4. Overdue penal Interest:**Applied as a punitive rate ranging from 18% to 24% per annum, calculated strictly on the outstanding principal if the Anchor fails to settle the mature invoice within the pre-agreed grace period.

Indicative Tenure Matrix

Payable Financing tenures are strictly aligned with standard trade usance terms. Standard tenures are segmented into:

- • **15 - 45 Days:**Short-term retail, fashion, and low-ticket consumables trading.
- • **60 - 90 Days:**The industry standard for automotive, engineering, and consumer electronics supply chains.
- • **120 - 180 Days:**Permitted for high-ticket industrial equipment, raw steel, or construction materials procurement programs.

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Chapter 8: Taxation, GST, TRACES, and Accounting Disclosures (Ind AS)

Navigating the taxation and accounting standards of Payable Financing is critical to ensuring corporate compliance and preventing balance sheet reclassification risks. Under Indian tax laws and the modern Indian Accounting Standards (Ind AS), reverse factoring and supplier finance arrangements are subject to strict disclosure requirements.

GST Treatment under the Central Goods and Services Tax Act, 2017

A common area of confusion for rookies is whether GST is applicable to the entire discounted invoice value. Under Indian tax laws:
1. GST is levied strictly on the financier's processing fees and early discounting interest charges at the standard rate of 18%. It is NOT applicable to the principal invoice value being discounted. The financier issues a tax invoice to the supplier (or the Anchor, depending on who bears the cost), and this GST can be fully claimed as Input Tax Credit (ITC) by the respective entity.

2. To verify the legitimacy of invoices and prevent fraudulent dual-financing on fake tax invoices, modern financiers run automated GSTR-1 and GSTR-2B validation audits, checking invoice matching in real time before approving any discounting disbursal.

TDS and TRACES Validation

Under Section 194A of the Income Tax Act, 1861, interest payments on commercial borrowings are subject to Tax Deducted at Source (TDS) at 10%. However, because the discounting charge in reverse factoring is technically defined as a 'bill discounting charge' rather than a traditional bank loan interest, scheduled commercial banks are exempt from TDS withholding. For NBFC-Factors, corporate treasurers must verify TDS filings via the TRACES portal, downloading Form 16A and ensuring it matches the lender's Form 26AS.

Ind AS 7 and Ind AS 107 Disclosure Amendments

Effective from April 1, 2024, the Ministry of Corporate Affairs (MCA) aligned Indian accounting with international standards (IASB) by introducing strict disclosure amendments to Ind AS 7 (Statement of Cash Flows) and Ind AS 107 (Financial Instruments: Disclosures). Under these amendments, corporate buyers utilizing supplier finance programs are mandated to disclose explicitly in their annual reports:

- • **Outstanding Liabilities:**The total outstanding liabilities that are part of supplier finance arrangements, alongside their balance sheet classification.
- • **Carrying Amounts:**The carrying amount of financial liabilities for which suppliers have already received early payments from financiers.
- • **Payment Term Comparisons:**The range of payment due dates for supplier financing liabilities compared to standard trade payables (to detect artificial extension of payables).
- • **Risk Management & Cash Flows:**A qualitative description of how the company manages liquidity and default risks associated with these programs.

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Chapter 9: Real-World Case Study (No-Cost vs. Interest-Bearing structures in INR)

To bridge the gap between financial theory and commercial operations, we analyze a comprehensive, mathematical case study of a Payable Financing program using two distinct transaction structures: standard Interest-Bearing and Anchor-Subvented 'No-Cost' financing.

The Commercial Scenario

Vibrant Auto Parts Pvt. Ltd. (based in Pune) is a registered MSME supplier of precision engine valves. They deliver a bulk consignment worth ₹50,00,000 (inclusive of GST) to their corporate buyer, Apex Automobiles India Ltd. (AAA-rated Corporate Anchor). The pre-agreed trade credit terms specify a 90-day usance period. To optimize cash flow, Vibrant avails discounting through Apex's partner bank supply chain program.

Underlying Financial Parameters

- • **Gross Invoice Value:**₹50,00,000
- • **Holding Margin:**10% (the bank holds ₹5,00,000 in reserve; financing is calculated on the 90% advanced portion).
- • **Lender Advanced Principal:**₹45,00,000
- • **Usance Tenure:**90 Days
- • **Financing Interest Rate:**8.0% per annum simple interest (based on a 365-day year).
- • **Lender Processing Fee:**0.1% of the advanced principal, subject to 18% GST.
- • **Early Payment Cash Discount:**1.5% discount on the total invoice value (offered by Vibrant to Apex for immediate settlement on Day 1).

Scenario A: Standard Interest-Bearing Route with Early Cash Discount

Under Scenario A, Vibrant Auto Parts agrees to absorb the financing and interest costs in exchange for immediate liquidity. Because the bank settles the invoice on Day 1, Vibrant offers Apex a 1.5% cash discount, and the discounting mathematics are structured as follows:

Step 1: Calculate the Discounted Invoice Billing Value
*Early Payment Discount = Gross Invoice Value * 1.5% = ₹50,00,000 * 0.015 = ₹75,000*
Net Invoice Value = ₹50,00,000 - ₹75,000 = ₹49,25,000

Step 2: Compute the Financing Loan Principal & Margin
*Margin Reserve (10%) = ₹49,25,000 * 10% = ₹4,92,500 (held in reserve by the bank until Day 90)*
Financing Advanced Principal (90%) = ₹49,25,000 - ₹4,92,500 = ₹44,32,500

Step 3: Calculate the Discounting Interest & Processing Fees
*Financing Interest = Advanced Principal * Interest Rate * (Tenure / 365) = ₹44,32,500 * 8.0% * (90 / 365) = ₹87,436*
*Upfront Processing Fee = Advanced Principal * 0.1% = ₹44,32,500 * 0.001 = ₹4,432.50*
*GST on Processing Fee (18%) = ₹4,432.50 * 18% = ₹797.85*
Total Financing Cost = Interest + Processing Fee + GST = ₹87,436 + ₹4,432.50 + ₹797.85 = ₹92,666.35

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Step 4: Determine Net Upfront Disbursal (Day 1)
Net Disbursal to Supplier = Advanced Principal - Total Financing Cost = ₹44,32,500 - ₹92,666.35 = ₹43,39,833.65 (rounded to ₹43,39,834)

Step 5: Final Settlement (Day 90)
Corporate Anchor (Apex) pays ₹49,25,000 to the bank. The bank sweeps the advanced principal of ₹44,32,500 to recover its dues and releases the ₹4,92,500 margin reserve back to Vibrant, completing the transaction loop.

Scenario B: Anchor-Subvented 30-Day Interest-Free Holiday

Under Scenario B, the Corporate Anchor (Apex) wishes to support its supplier's cash flow. Apex agrees to subvent (absorb) 100% of the interest charges for the first 30 days of the usance period. Vibrant is only responsible for the interest costs from Day 31 to Day 90 (60 days of financing interest). No early cash discount is offered under this structure. The calculations are:

Step 1: Compute the Financing Principal & Margin (No Early Discount)
*Margin Reserve (10%) = ₹50,00,000 * 10% = ₹5,00,000 (held in reserve until Day 90)*
Financing Advanced Principal (90%) = ₹50,00,000 - ₹5,00,000 = ₹45,00,000

Step 2: Compute Segmented Interest & Processing Fees
*Lender's Total Required Interest (90 Days) = ₹45,00,000 * 8.0% * (90 / 365) = ₹88,767*
*Anchor Subvented Share (30 Days) = ₹45,00,000 * 8.0% * (30 / 365) = ₹29,589 (paid by Apex to the bank upfront)*
*Supplier Borne Interest (Remaining 60 Days) = ₹45,00,000 * 8.0% * (60 / 365) = ₹59,178*
Supplier Processing Fee (0.1% on ₹45,00,000) = ₹4,500
*GST on Processing Fee (18%) = ₹4,500 * 18% = ₹810*
Total Cost Borne by Supplier = Supplier Interest + Fee + GST = ₹59,178 + ₹4,500 + ₹810 = ₹64,488

Step 3: Determine Net Upfront Disbursal (Day 1)
Net Disbursal to Supplier = Advanced Principal - Total Cost Borne = ₹45,00,000 - ₹64,488 = ₹44,35,512

Step 4: Final Settlement (Day 90)
Apex pays the full ₹50,00,000 to the bank. The bank sweeps ₹45,00,000 to recover the principal and releases the ₹5,00,000 margin reserve back to Vibrant Auto Parts.

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Chapter 10: Practice Examination & Test Questions for Rookies

This chapter contains ten highly rigorous, scenario-based multiple-choice, analytical, and descriptive test questions designed to evaluate a finance rookie's understanding of Payable Financing structures, unit economics, regulatory compliance, CERSAI registration, taxation, and accounting disclosures in India. Detailed answers and rationales are provided.

• Question 1 (Multiple Choice):
What is the primary operational distinction between Receivable Financing and Payable Financing?

- **A)**Receivable Financing is Buyer-Led, whereas Payable Financing is Seller-Led.
- **B)**Receivable Financing is Seller-Led (initiated by the supplier), whereas Payable Financing is Buyer-Led (initiated by the Corporate Anchor).
- **C)**Receivable Financing requires CERSAI registration, whereas Payable Financing is legally exempt.
- **D)**Receivable Financing is priced on the Anchor's credit rating, whereas Payable Financing is priced on the supplier's balance sheet.

★ **Rationale & Analysis:** Correct Option: B. Receivable Financing (e.g., Invoice Factoring) is a Seller-Led program where individual suppliers discount their invoices. Conversely, Payable Financing (Reverse Factoring) is initiated and sponsored by the Corporate Anchor to optimize its accounts payable and support its supplier network.

• Question 2 (Multiple Choice):
According to the RBI Digital Lending Directions, what is the maximum permissible cap on Default Loss Guarantee (DLG) arrangements in India?

- **A)**1% of the outstanding loan portfolio.
- **B)**5% of the outstanding DLG portfolio.
- **C)**10% of the outstanding loan portfolio.
- **D)**15% of the outstanding loan portfolio.

★ **Rationale & Analysis:** Correct Option: B. Under the RBI Digital Lending Directions, any synthetic lending or risk-sharing arrangement via Default Loss Guarantee (DLG) between a Lending Service Provider (LSP) and a Regulated Entity (RE) is strictly capped at 5% of the outstanding DLG portfolio to ensure systemic safety.

• Question 3 (Multiple Choice):
Under the Factoring Regulation Act, 2011, what is the mandatory timeline within which a financier must register the assignment of receivables on the CERSAI portal?

- **A)**Within 24 hours of the transaction.
- **B)**Within 10 days of the date of assignment.
- **C)**Within 30 days of the date of assignment.
- **D)**Within 45 days of the date of assignment.

★ **Rationale & Analysis:** Correct Option: B. Section 19 of the Factoring Regulation Act, 2011 mandates that factoring companies and financiers must register every transaction-backed assignment of receivables on the CERSAI portal within 10 days of execution to mitigate dual-financing fraud.

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• Question 4 (Analytical Case Question):
A supplier discounts a ₹10,00,000 invoice under a Payable Financing line with a 10% margin reserve. The financier advances 90% of the invoice value at a rate of 9% p.a. simple interest for a tenure of 60 days. Calculate the exact discounting interest cost (assuming a 365-day year).

★ **Rationale & Analysis:** Step 1: Determine the advanced financing principal: ₹10,00,000 * 90% = ₹9,00,000.
Step 2: Apply the simple interest formula: Interest = Advanced Principal * Interest Rate * (Tenure / 365) = ₹9,00,000 * 9.0% * (60 / 365).
Step 3: Calculate the exact value: ₹81,000 * 0.164383 = ₹13,315.06 (rounded to ₹13,315).
Hence, the discounting interest cost borne for the 60-day tenure is ₹13,315.

• Question 5 (Multiple Choice):
Under the proposed amendments to Ind AS 7 and Ind AS 107 (effective April 1, 2024), which of the following is a mandatory corporate disclosure for supplier finance arrangements?

- **A)**The names and credit ratings of all onboarded suppliers.
- **B)**The carrying amount of liabilities under supplier finance arrangements, alongside the range of payment due dates compared to standard trade payables.
- **C)**The total amount of GST Input Tax Credit claimed by the financier on interest charges.
- **D)**An unconditional corporate guarantee covering 100% of supplier defaults.

★ **Rationale & Analysis:** Correct Option: B. To improve transparency, the amendments to Ind AS 7 and Ind AS 107 mandate explicit disclosures of outstanding supplier finance liabilities, carrying amounts where suppliers have already received early payouts, and a comparison of payment terms to standard trade payables.

• Question 6 (Multiple Choice):
What is the role of a 'Non-Dispute Covenant' in a Payable Financing tripartite agreement?

- **A)**It contractually prevents the supplier from charging GST on the invoice.
- **B)**It legally binds the Corporate Anchor to pay the financier on maturity, waiving all rights to set-offs or quality-based deductions once the invoice is approved.
- **C)**It allows the financier to automatically liquidate the promoter's real estate assets on default.
- **D)**It limits the collection hours of recovery agents to between 8:00 AM and 7:00 PM.

★ **Rationale & Analysis:** Correct Option: B. The Non-Dispute Covenant is the primary credit shield in supply chain finance. Once the Anchor approves an invoice, they legally waive their rights to hold back payment from the financier due to commercial quality disputes or trade returns, transforming the invoice into a clean cash liability on maturity.

• Question 7 (Multiple Choice):
Under the RBI's Fair Practice Code and Digital Lending guidelines, recovery agents are strictly prohibited from contacting defaulted borrowers during which hours?

- **A)**Between 8:00 AM and 7:00 PM.
- **B)**Between 7:00 PM and 8:00 AM.
- **C)**Between 10:00 PM and 6:00 AM.
- **D)**There are no restrictions as long as the loan has been legally assigned under Section 130.

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★ **Rationale & Analysis:** Correct Option: B. To protect consumers and merchants from unethical harassment and coercion, the RBI Fair Practice Code strictly prohibits lenders and their recovery agents from contacting defaulted borrowers outside the designated hours of 8:00 AM to 7:00 PM.

• Question 8 (Multiple Choice):
How is GST applied on a trade transaction processed through a Payable Financing line?

- **A)**GST is levied at 18% on the entire gross invoice value being discounted.
- **B)**GST is levied strictly at 18% on the financier's processing fees and discounting interest charges; it is not levied on the invoice principal.
- **C)**GST is entirely waived for transactions executed on RBI-approved TReDS platforms.
- **D)**GST is deducted at source (GST-TDS) at 10% under Section 194A.

★ **Rationale & Analysis:** Correct Option: B. Under Indian GST rules, trade invoice principal discounting is not a supply of goods or services. However, the financier's service charges, such as upfront processing fees and early payment interest charges, represent financial service fees and are subject to GST at 18%.

• Question 9 (Descriptive Scenario):
A medium-sized electronics manufacturer uses a bank's Payable Financing program to pay its suppliers. By utilizing early payment, the manufacturer secures a 2.0% cash discount from suppliers on a ₹50 Lakh consignment. In return, the bank charges the manufacturer an interest rate of 9% p.a. on the advanced amount for 45 days usance. Analyze the economic trade-off.

★ **Rationale & Analysis:** Step 1: Compute the Cash Discount Secured: ₹50,00,000 * 2.0% = ₹1,00,000.
Step 2: Calculate the Bank's Discounting Interest (assuming 90% advance, i.e., ₹45,00,000): Interest = ₹45,00,000 * 9% * (45 / 365) = ₹4,05,000 * 0.123287 = ₹49,931.
Step 3: Analyze the net commercial benefit: Net Saving = Cash Discount - Bank Interest = ₹1,00,000 - ₹49,931 = ₹50,069.
Conclusion: This represents an exceptionally high-yield credit arbitrage (+₹50,069 net financial gain). The corporate buyer successfully unlocks supplier discounts, optimizes working capital, and supports supply chain stability using cheap bank leverage.

• Question 10 (Multiple Choice):
Which of the following is a strict digital privacy standard mandated by the RBI for Digital Lending Apps (DLAs) in India?

- **A)**DLAs must store all personal and transaction data on cloud servers located outside India to prevent local cyber-attacks.
- **B)**DLAs are strictly prohibited from accessing a user's mobile contact list, telephony logs, or local file directories, allowing only a one-time access to camera/microphone/location solely for KYC purposes with explicit consent.
- **C)**DLAs must automatically increase a borrower's credit limit by 10% every quarter to support retail credit growth.
- **D)**DLAs are allowed to bypass e-KYC and PAN requirements for small-ticket loans under ₹10,000.

★ **Rationale & Analysis:** Correct Option: B. Under the RBI's Digital Lending guidelines, DLAs and their LSPs are strictly prohibited from accessing customer phone storage, contacts, call logs, and files.

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Only a one-time, consent-driven access to mobile resources (camera, microphone, location) is permitted solely for KYC and onboarding.

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